

# PILL DEAL

**Daiichi Sankyo's buyout will enrich shareholders and help Ranbaxy sustain growth, but it is also a wake-up call for Indian companies going global to rethink their business models**

■ By Shankkar Aiyar

**W**hen we set out on our way in 1961, little did we realise the impact we would make on the Indian and global pharmaceutical industry...." This opening legend on the website of Ranbaxy, India's largest and first multinational pharmaceutical giant, has turned out to be prophetic. For years Ranbaxy provided a tried-and-tested prescription for pharma companies to follow: create capacities to manufacture generic drugs, use the high valuations to acquire facilities abroad, ramp up market share through new access points and boost growth.

Last week Malvinder Singh, MD and CEO, stunned the industry, signing a deal selling the family's controlling 34.8-per cent stake in Ranbaxy to Japan's Daiichi Sankyo for Rs 10,000 crore. Though tested clinically across markets, the magic pill, it would seem, was felled by the mutants of globalisation. Despite its size, reach and presence in both the generic and the innovative segments, Ranbaxy found itself inadequate for the next orbit. Although it is one of the few instances of Indian companies being bought out suddenly, there is a hush across cubicle farms in corporate India. The Ranbaxy buyout has triggered an as yet unspoken doubt: is the Indian story sustainable?

To be honest, Singh did the right thing. To move to the next level, Ranbaxy, which had clocked revenues of Rs 6,982 crore in the calendar year 2007, had to find the intellectual capital to drive innovations, the financial muscle to fund expansion and the scale to bolster growth. Its R&D budget of \$100 million (Rs 420 crore), with a pool of 1,200 scientists, may have been the

largest in the domestic industry, but it was too little by global standards. Its acquisitions gave it market presence in 49 countries, but not scale. For that, Singh attempted a takeover of German giant Merck KGaA and stumbled. As the generic market got crowded, margins shrank and the global business outlook turned grim, he realised that timing, not sentiment, was of the essence. Rather than lose momentum, Singh chose to marry Ranbaxy to Daiichi Sankyo to create an entity that mirrors the combo of innovations giant Novartis and generics player J&J.

The merger will inject Daiichi's innovative skills into Ranbaxy's market and management muscle and is the best possible deal for shareholders. The market, too, has endorsed the deal. Gaurav Dua, head of research at stock trading company Sharekhan, describes it as an "excellent strategic move as the company will get innovation, new markets, and at Rs 737 per share, an infusion of cash". In fact, post-acquisition, Ranbaxy would be debt-free, with a cash surplus of Rs 2,800 crore. Analysts also see it as a landmark deal. Hitesh Gajaria, head, pharma sector, at consulting firm KPMG, believes it is a "crossroads kind of a deal, a turning point", marking the maturing of Indian promoters who are now willing to exit at the right valuation without being sentimental.

Obviously, parting with the controlling stake hurts, but Singh calls it "putting the interest of the company above that of the family". He believes that by leveraging a global business opportu-



**PRESCRIPTION FOR GROWTH:** Malvinder (left) and Shivinder Singh

**The Singh brothers will net Rs 10,000 crore. Money will be used to fund healthcare and financial services business.**

nity, he has set the pace for others. As he left for Japan, he characterised the sale as the best possible way out. "We will be far stronger and will be able to do a lot more than what we would have done on our own. We are redefining the business model, creating an organisation for the future." Indeed, embedded in Singh's aspiration is the writing on the wall for many Indian companies.

**"We will be far stronger and will be able to do more. We are redefining the model to create a business of the future."**

MALVINDER SINGH, MD & CEO, RANBAXY